



1.4 Managing People

Contents

- * Approaches to Staffing
- * Recruitment, Selection & Training
- * Organisational Design
- * Motivation in Theory & Practice
- * Leadership



An introduction to staffing

- Effective **human resource management (staffing)** is important to business as it ensures that the organisation has:
 - The right people, in the right roles, with the right support, with opportunities to succeed
- This leads to **higher productivity**, more profits and a **positive work environment**
- Human resource management focuses on how employees can be effectively
 - Recruited
 - Deployed (used)
 - Developed and trained
 - Motivated
 - Managed and led

Staff as an asset and as a cost

- Staff represent both an **asset** and a **cost** to a business
- Staff are an **asset** to a business, as they bring knowledge, skills and expertise to the business
 - Staff can increase productivity, drive innovation and enhance customer service — all of which contribute to the success and profitability of the business
 - Staff can help to **build a positive reputation** for the business through their interactions with customers, suppliers and other stakeholders
- Staff also generate **costs** to a business — and, for many businesses, staffing is **one of the largest costs** they have
 - There are costs associated with:
 - Hiring and training workers
 - Managing workers, as managers have to be hired
 - Paying **salaries** of full-time workers
 - Paying **wages** of hourly staff
 - Additional benefits, such as company cars, pensions, healthcare, etc.
 - Letting workers go (**redundancy payments**)

The impact of national minimum wages on staffing costs



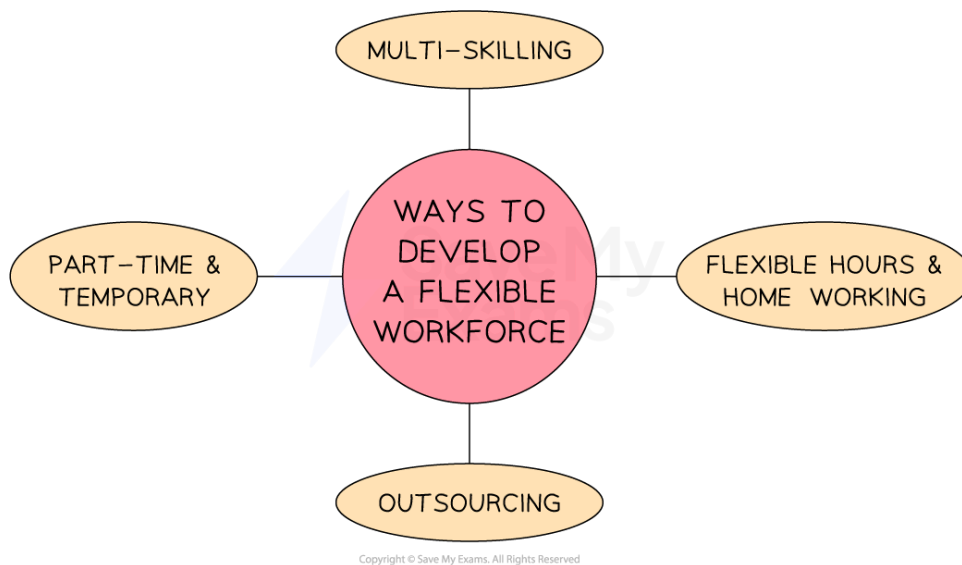
Your notes

- The introduction or increase of a **national minimum wage** is relevant to employees who receive a wage rather than a salary
 - Businesses that employ workers on a wage basis may face **higher labour costs**
 - Businesses that employ workers on a salary basis are less affected by the introduction of a minimum wage
 - They already **pay a fixed amount** regardless of the number of hours worked

Developing a flexible workforce

- **Flexible working** is the development of a culture where workers are equipped to **do different roles** or where they work in a range of employment patterns (full-time, part-time, **zero hours contracts**, work from home, etc.)
- Developing a flexible workforce can **bring many benefits** to a business
 - Each specific approach should be assessed, as there are potential disadvantages to each

Ways to develop a flexible workforce



Allowing workers to work from home is just one of several methods available to businesses to develop a flexible workforce

Multi-skilling

- Multi-skilling is the process of training workers to **fulfil multiple job roles** within a business

- E.g. Southwest Airlines trains staff to handle multiple roles, including check-in, baggage handling and customer service

Advantages and disadvantages of multi-skilling

Advantages	Disadvantages
▪ Businesses utilise their workforces more efficiently, which reduces labour costs and increases productivity ▪ It can help to improve patient outcomes in healthcare industries, as workers with a broader range of skills can provide more comprehensive care	▪ May require significant investment in training and development ▪ May not be appropriate for all job roles, especially those that require a high level of expertise

Part-time and temporary working

- Someone who works **part-time** may only work two or three days a week
- Someone who works temporarily shows up for work whenever the business needs them
 - E.g. Amazon employs temporary workers to handle seasonal spikes in demand, such as Christmas

Advantages and disadvantages of part-time and temporary working

Advantages	Disadvantages
▪ Flexible working arrangements can help businesses to attract and retain talent, especially staff who value work-life balance ▪ This may improve productivity, as staff can work during their most productive hours and avoid distractions	▪ Flexible working arrangements can create challenges in terms of communication and collaboration (especially if staff are working remotely) ▪ Monitoring and managing flexible workers can be more difficult

Outsourcing

- Apple **outsources** much of its manufacturing to Foxconn in China
 - This allows Apple to **produce products at a lower cost** and maintain competitive pricing

Advantages and disadvantages of outsourcing

Advantages	Disadvantages
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Your notes

▪ This may allow businesses to access specialised skills that may not be available in-house ▪ May reduce labour costs	▪ This may lead to a loss of control over quality and delivery, especially if the outsourcing partner is based in another country ▪ This may create ethical concerns, especially if the partner is based in a country with lower labour standards or human rights abuses
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Flexible hours

- Flexible hours allow employees to **schedule working hours around their individual needs** and accommodate their commitments outside of work
- A flexible-hours schedule usually involves **working some set hours**, with the remainder of hours organised according to the employees' needs
 - E.g. An employee may be expected to be at work between the hours of 10 am and 2 pm, but they can choose when they complete the rest of their working hours

Home working

- **Advances in communication technology** have enabled a larger proportion of workers than ever before to work from home
 - Employees use tools such as **email, instant messaging, collaborative software, scheduling apps** and **videoconferencing** to carry out work remotely
- Home working has a range of advantages and disadvantages for both the business and its employees

Advantages and disadvantages of homeworking

	Advantages	Disadvantages
For the Business	▪ Smaller or fewer premises may be required, reducing costs ▪ High-quality workers may be attracted from a wide geographical area ▪ Workers may be more productive if they work in isolation, away from distractions	▪ The cost of equipping workers with technology to work remotely may be significant ▪ There may be less opportunity for collaboration between workers, reducing innovation ▪ Careful monitoring is required to ensure remote workers remain focused on tasks
For the Employee	▪ Commuting costs, such as train fares, are eliminated ▪ Stress is reduced as a result of not having to travel to work	▪ Staff may feel isolated from colleagues ▪ Household costs such as electricity and heating may increase

	Some flexibility may be possible, allowing workers to manage other commitments	A healthy division between work and home life may be difficult to manage
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Your notes

The distinction between dismissal and redundancy

Dismissal

- Dismissal** (firing or sacking) is the **termination of employment by an employer** against the will of the employee
 - Employees are usually terminated due to their **misconduct** (e.g. violating company policy) or **poor performance**
 - The employer may choose to dismiss them immediately (without notice or compensation) or provide a notice period, which the employee can work out

Redundancy

- Employees are **made redundant** when their job is no longer available and the business **reduces the size of its workforce**
 - The termination is not due to any fault of the employee
 - The employer must **follow certain legal procedures**, including providing notice and paying redundancy compensation

Different approaches to employer/employee relationships

- The nature of the employer/employee relationship is influenced by whether there is an **individual approach** or a **collective agreement**

Individual and collective bargaining approaches

Individual Approach	Collective Bargaining
- Focuses on the relationship between an employee and their employer - Assumes that each employee is unique and has their own goals, motivations and interests - It emphasises the need for tailored compensation packages that cater to each employee's unique skills and needs	- A process whereby a group of employees (represented by a trade union) negotiate with their employer for better wages, working conditions and benefits - Employees have more bargaining power when they negotiate collectively rather than as individuals - The employment relationship is seen as a power struggle between two parties

- The **employment relationship** is a voluntary agreement between two parties in which both negotiate their respective roles, responsibilities and benefits
- The employer has the power to hire, fire and set the **terms and conditions** of employment

with conflicting interests

- The employer wants to **maximise profits** by keeping labour costs low
- The employees want to **maximise their wages** and benefits
- The union acts as the **collective voice** of the employees and bargains with the employer on behalf of all workers



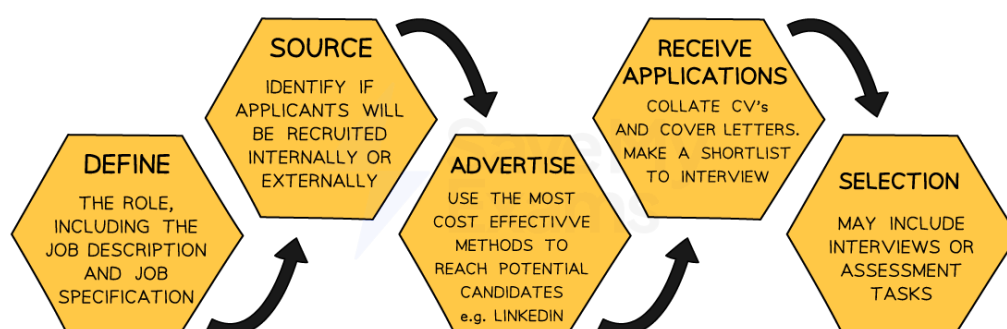
Your notes



The recruitment and selection process

- **Recruitment** is the process of attracting and identifying potential job candidates who are suitable for a particular role
 - Recruitment activities include **job advertising**, **job fairs**, **social media outreach** and **referrals** from current employees
 - The goal of recruitment is to **create a pool of qualified candidates** who can be considered for the role
- **Selection** is the process of choosing the best candidate
 - Selection activities often involve **reviewing curricula vitae (CVs)** and **conducting interviews** or assessment tasks
 - The goal of selection is to hire the **most suitable candidate** for the job

The recruitment and selection process



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The recruitment and selection process involves defining, sourcing, advertising roles and selecting a suitable candidate

1. Define the role

- Businesses should determine exactly what is required, and part of that is developing a job description and a person/job specification
 - A **job specification** outlines the qualifications, skills, experience and personal qualities required **from a candidate** for a specific job; e.g. problem solver, good communicator, able to code in Java
 - A **job description** outlines the duties, responsibilities and requirements of a particular job

2. Determine the best source of candidates

- The business can advertise the role internally, externally, or a combination of both

- **Internal recruitment** is the process of hiring employees from within the organisation
 - It can involve the **promotion** or **redeployment** of staff to fill a vacant post
 - Vacancies are advertised internally on **staff notice boards**, in **newsletters** or via **in-house electronic communications**



Your notes

Evaluation of internal recruitment

Advantages	Disadvantages
▪ Internal candidates are already familiar with business culture and processes ▪ Can adapt to the role quickly ▪ Little need for induction training	▪ Can lead to conflict or resentment ▪ May affect motivation and working relationships between successful/rejected internal candidates
▪ The business has a good understanding of the candidate's strengths, weaknesses, skills and aptitudes ▪ Less risky than employing an external candidate whose abilities are less well known	▪ A further vacancy is created when an employee is promoted/redeployed ▪ External recruitment may be necessary to fill vacated job roles
▪ Opportunities to progress can be motivating for existing employees ▪ Improves loyalty and commitment	▪ A limited number of suitable applicants may be available internally
▪ Cheaper and quicker to promote or redeploy existing staff rather than recruit externally	▪ Missed opportunity to inject new ideas, experience or skills into the business

- **External recruitment** is the process of hiring employees from outside the organisation
 - External recruitment can bring fresh ideas, experiences and perspectives to the organisation
 - It **overcomes some of the disadvantages of internal recruitment**
 - However, it is often **more expensive** than internal recruitment
 - There is also a **greater degree of uncertainty**, as external candidates are unknown to the business

Comparison of external recruitment methods



Your notes

Method	Explanation
Referrals / personal recommendations	- Current employees may recommend a suitable candidate for a vacancy - Employees may be rewarded if a candidate is successfully appointed
Online advertising	- Vacancies can be advertised on a business's own website or on a specialist recruitment website, such as Glassdoor or CharityJobs.com - This method is relatively low-cost with a wide reach
Newspaper advertising	- Adverts to attract local candidates can be placed in district or regional newspapers High-profile vacancies, such as public sector roles, may be advertised in national newspapers - Although relatively expensive, these ads can be highly targeted
Specialist trade publications	- Roles are advertised in magazines or newsletters that are read by professionals in a particular industry - Examples include fashion industry journal <i>Drapers</i> and education journal <i>The Times Educational Supplement (TES)</i>
Employment agencies	- Specialist recruitment agents advertise roles on behalf of the business - Some also conduct interviews or other selection activities - A recruitment fee is charged when the business appoints a candidate
Headhunting	- A headhunting agency makes attractive approaches to highly qualified specialists in a particular industry / with desired skills, experience or knowledge - A significant fee is payable once a candidate is appointed
Job centres	Low-level vacancies can be advertised free of charge in government-funded centres and, increasingly, online
Career fairs	Events often hosted by universities or industry bodies to promote available opportunities

- Attract significant numbers of **highly qualified, interested candidates**



Your notes

3. Advertise

- Businesses with a strong social media presence can use these platforms to advertise cost-effectively, e.g. Facebook, LinkedIn, TikTok
- Depending on the nature of the business, there may be **specialist recruitment portals** through which they can advertise; these tend to **cost more**, e.g. The *TES* is one of the main publications used to recruit teaching staff

4. Receive applications

- The application stage involves **collecting information** from potential candidates
- A business may have its own application form, which should gather information such as personal details, qualifications and work experience
- Applicants may also be asked to submit their **CV** and a cover letter explaining why they believe they are the right person for the role
- Someone within the business must be nominated to manage the application process
 - This person (possibly together with others) will draw up a **shortlist** of candidates from the many applications received
 - The shortlist usually includes three to five candidates who are **invited to interview**

5. The selection process

- This process varies significantly between organisations
- Businesses must decide on the **most appropriate method** that will help them identify the best candidate
- The most commonly used methods include **interviews and assessment tasks**

Interviews and assessment tasks

Interviews	Assessment tasks
▪ Involves meeting (face-to-face or virtually, e.g. Zoom) and asking questions about the candidate's skills, experience and knowledge ▪ It is important to prepare a set of relevant questions to ask all candidates and to ensure that the interview is conducted in a fair and consistent manner	▪ Provide shortlisted candidates with the opportunity to demonstrate their skills and suitability for the job ▪ The assessment tasks may include psychometric tests, group exercises, presentations and interviews

Costs of recruitment, selection and training



Your notes

- Recruitment, training and selection are essential processes for any business to attract, develop and retain a skilled workforce
- These processes involve significant costs for businesses, which **can impact their overall profitability** and competitiveness

Costs of recruitment, selection and training

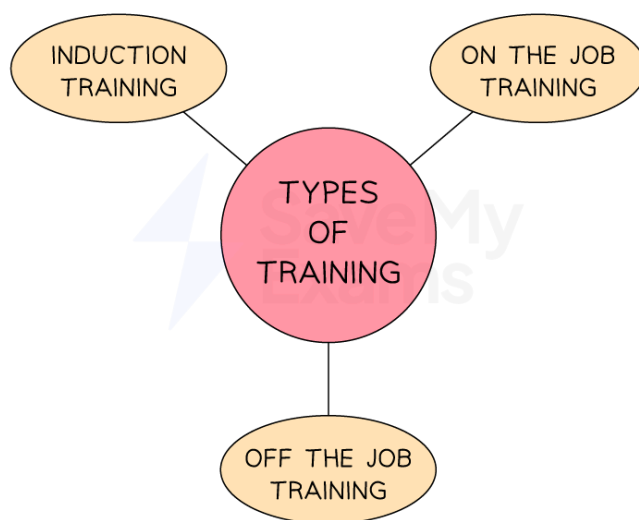
Recruitment costs	Training costs	Selection costs
▪ Recruitment costs refer to the expenses incurred in the process of hiring new employees ▪ These include advertising, recruiting, interviewing and screening candidates ▪ High labour turnover rates can significantly increase these costs ▪ When employees leave, the business has to spend money and time recruiting and training new employees to fill the vacant positions	▪ Training costs refer to the expenses incurred in the process of providing training to new or existing employees ▪ These include the cost of trainers, training materials and facilities ▪ The effectiveness of training can impact these costs ▪ If the training is not effective, employees may require additional training or take longer to learn new skills, which can increase the cost of training	▪ Selection costs refer to the expenses incurred in the process of selecting candidates for employment ▪ These include background checks and visa costs ▪ High labour turnover rates can increase selection costs as the business has to spend more regularly

- By **reducing labour turnover rates** and **improving the effectiveness** of their training programmes, businesses can minimise these costs and improve their overall profitability and competitiveness

Types of training provided by businesses

- Different **types of training** have their advantages and disadvantages for the business

Training types



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Three common types of training that businesses put their new employees through

Induction training

- Induction training is a type of training that **new employees receive** when they start working for a company
 - It introduces them to the company, its culture, policies and procedures, and their job roles and responsibilities
 - E.g. when a new employee joins Marks & Spencer, they receive induction training that covers customer service, product knowledge, store policies and safety procedures

Evaluation of induction training

Advantages	Disadvantages
■ Helps new employees understand their job roles and responsibilities ■ Introduces employees to the company culture, policies and procedures ■ Improves employee confidence and motivation ■ Reduces the time taken for new employees to become productive	■ Can be time-consuming and expensive to organise ■ May not cover all aspects of the job role ■ May not be effective in all cases, leading to employee dissatisfaction and higher turnover rates

On-the-job training

- A type of training that takes place **while employees are working** in their job roles

- It allows employees to **learn new skills and knowledge** from colleagues while performing their job duties
 - E.g. A sous chef at The Ivy Restaurant in York may receive **on-the-job training from the chef** to learn how to prepare new dishes, **use new equipment** or improve their cooking techniques



Your notes

Evaluation of on-the-job training

Advantages	Disadvantages
- Employees learn new skills and knowledge while performing their job duties Training is tailored to the employee's specific job role and responsibilities - Training is often more practical and relevant to the employee's job duties Can be cost-effective as it takes place during working hours	- Employees may make mistakes while learning, which can impact productivity and quality - Can be disruptive to the workplace as it requires the trainer to devote time to training the employee - May not be effective in all cases, leading to employee dissatisfaction and higher turnover rates

Off-the-job training

- A type of training that takes place **outside of the workplace**
 - It can be in the form of workshops, seminars, conferences or online courses
 - E.g. Teachers can attend exam board training days at which they learn how to better teach the syllabus and help their students prepare for their exams

Evaluation of off-the-job training

Advantages	Disadvantages
- Employees learn new skills and knowledge outside of the workplace, which can bring fresh ideas and perspectives to the workplace Training can be tailored to the employee's specific needs and interests - Training can be used as a reward or incentive for high-performing employees Can be cost-effective if training is provided online or through webinars	- Can be expensive to organise, especially if travel and accommodation are required - Employees may miss work while attending training, which can impact productivity - The training may not be directly applicable to the employee's job role or the needs of the firm



Understanding organisational structure terminology

- **Organisational structure outlines the reporting relationships, roles and responsibilities of employees in the organisation**
- Businesses must determine what the best structure is for them to **effectively implement** their ideas and achieve their objectives
 - They should consider how the structure may affect the **management and effectiveness of operations** and communications
 - A well-designed organisational structure helps to promote clarity, efficiency and accountability

Terminology used in organisational design

Term	Definition	Explanation
Hierarchy	▪ A hierarchy refers to the levels of authority within an organisation	▪ It describes the ranking of positions from top to bottom ▪ The higher the position in the hierarchy, the more authority and power it holds ▪ The hierarchy usually includes top-level management, middle-level management and lower-level employees
Chain of command	▪ The chain of command is the formal line of authority that flows down from the top management to lower-level employees	▪ It defines who reports to whom and who is responsible for making decisions ▪ The chain of command helps establish a clear communication channel and helps to maintain accountability within the organisation
Span of control	▪ Span of control refers to the number of employees that a manager or supervisor effectively manages	▪ It is based on the principle that a manager can only effectively manage a limited number of employees



Your notes

		▪ A narrower span of control means that there are more layers of management ▪ A wider span of control means that there are fewer layers of management
Centralised structure	▪ Decision-making authority is concentrated at the top of the organisation	▪ Senior management make most of the key decisions ▪ Centralisation can promote consistency and control
Decentralised structure	▪ Decision-making authority is distributed throughout the organisation	▪ Lower-level employees have more decision-making power ▪ Decentralisation can promote flexibility and innovation

Different types of organisational structure

- Businesses typically structure their organisation in one of three ways:
 - **Tall** organisational structures
 - **Flat** organisational structure
 - **Matrix** organisational structure

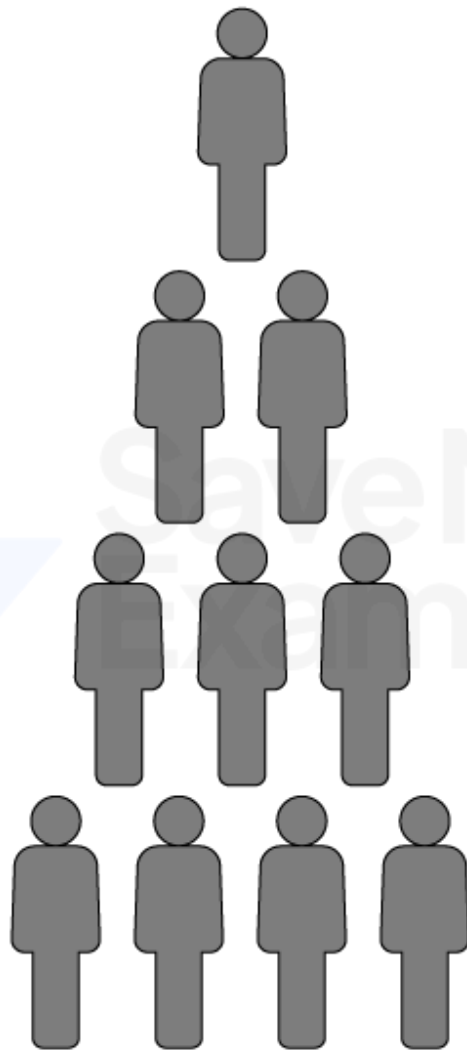
Tall organisational structures

- Tall structures are characterised by multiple levels of management and a more centralised decision-making process
- A **long chain of command**
- Common in large organisations with complex operations, e.g. government agencies and universities

A tall organisational structure



Your notes



HIERARCHICAL / TALL

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A tall — or hierarchical — structure with a long chain of command and a narrow span of control

Evaluation of tall structures

Advantages	Disadvantages
▪ Provides a clear hierarchy of authority and defined roles and responsibilities ▪ Promotes specialisation and expertise within each department or	▪ Can create communication barriers between the upper and lower levels of the hierarchy ▪ Decision-making can be slow as information must pass through multiple

function

- Offers **opportunities for career advancement** and promotion within the organisation
- All of the above increase efficiency and motivation

layers of management

- This can lead to **bureaucracy** and excessive levels of management
- All of the above reduce efficiency and motivation

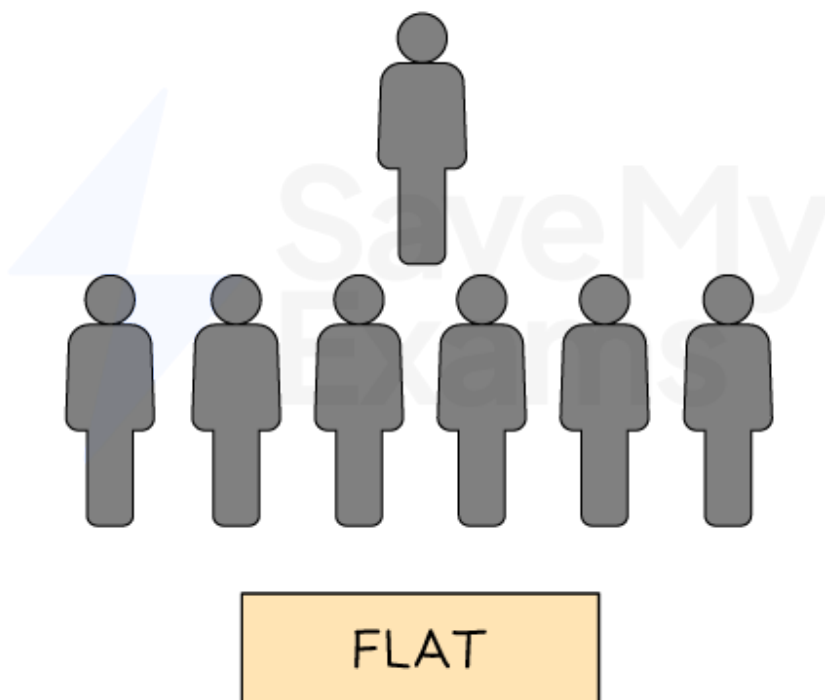


Your notes

Flat organisational structures

- Flat structures are characterised by fewer levels of management and a **more decentralised decision-making process**
- A **short chain of command**
- Common in small organisations or start-ups, e.g. tech start-ups and small businesses

A flat organisational structure



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A flat organisational structure with a short chain of command and wide span of control

Evaluation of flat structures

Advantages	Disadvantages
▪ Promotes a culture of collaboration and open communication	▪ This can lead to role ambiguity and a lack of a clear hierarchy

- Decision-making can be **faster and more efficient**
- Encourages **creativity and innovation** as employees have more autonomy and flexibility
- All of the above increase efficiency and motivation

- May not provide clear opportunities for **career advancement** or promotion
- This may require employees to take on **multiple roles** and responsibilities, **leading to burnout** and overwhelm
- All of the above reduce efficiency and motivation

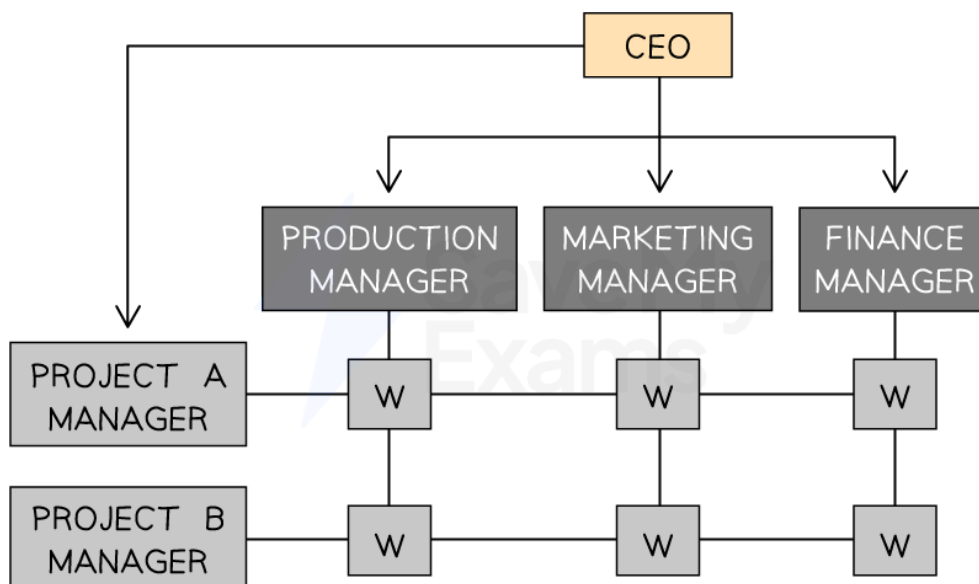


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Matrix organisational structures

- Matrix structures are usually **built around specific products** or projects, e.g. KitKat has its own team within Nestlé
- They combine the **functional areas of a business** (human resources, finance, marketing, sales) with a specialist team that operates inside the business

A matrix organisational structure



A matrix structure built around specific projects

Evaluation of matrix structures

Advantages	Disadvantages
- Promotes cross-functional collaboration and communication - Allows for specialisation and expertise within each functional area	- This can lead to conflicts over priorities and resources - This can create confusion over roles and responsibilities, particularly when multiple managers are involved

- Enables efficient allocation of resources and **coordination of multiple projects**
- All of the above increase efficiency and motivation

- **Requires a high degree of communication** and coordination, which can be challenging
- All of the above reduce efficiency and motivation



Your notes



The importance of employee motivation

- Motivation refers to the **inner desire or willingness** that propels a person to take action and **achieve a specific goal or outcome**
 - Motivation can be **intrinsic**, coming from within a person (values, beliefs, etc.)
 - Motivation can be **extrinsic**, coming from external factors (rewards or punishments)
- Motivation plays a critical role in a business's success and can have a significant impact on productivity, reliability and loyalty of its workers and labour turnover rates

Motivation and productivity

- Motivated employees are **more productive and efficient**, as they are more likely to be engaged in their work and take the initiative to meet or exceed their goals
- They will generate higher levels of output and quality
- Increased productivity results in **higher profits** for the business

Motivation and the reliability of workers

- Motivated employees are more likely to be **reliable and dependable**
- They take pride in their job, show up on time, meet deadlines and take fewer sick days
- This leads to increased trust between the business and its employees as well as higher **productivity**

Motivation and staff turnover

- Motivated employees are more likely to stay with the company long-term, which reduces the **turnover rate**
- Lower turnover rates reduce the need for costly recruitment and training

Motivation theories: Taylor's Scientific Management

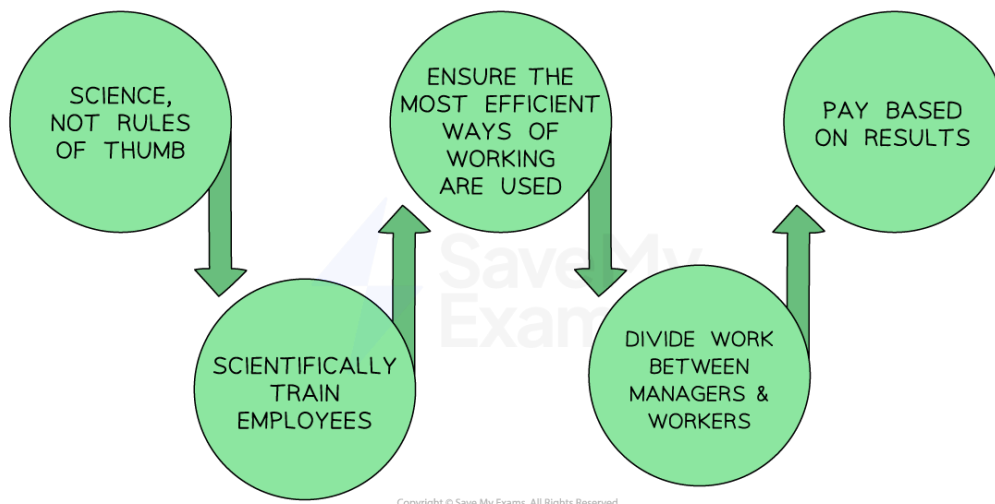
- Developed by Frederick Winslow Taylor in the early 20th century
- It focuses on **breaking down complex tasks** into simpler ones, standardising work processes and providing workers with clear instructions and training to achieve maximum efficiency
- Many **manufacturing businesses** use Taylor's principles to structure their staff benefits, e.g. piece-rate pay

- Production lines involving human labour are often set up based on these principles

Taylor's approach to staff motivation



Your notes



Taylor's method starts with a scientific analysis of what is involved in a job and then breaks it down into parts for which employees can be trained

Explanation

1. Study and analyse the work process

- Carefully analyse each step of the work process
- Break down **complex tasks** into simpler ones, and identify the most efficient and **effective way to perform each task**

2. Standardise the work process

- This involves creating **detailed procedures and instructions** for each task so that workers can follow these procedures consistently

3. Select and train the workers

- Workers should be carefully selected based on their **skills and abilities**
- Train workers to perform their tasks efficiently and effectively
 - This training includes both **technical skills** and the **proper attitudes and behaviours** required to be successful (e.g. patience in a repetitive task)

4. Provide incentives for performance

- Scientific management emphasises the **use of incentives** to motivate workers
 - This may include **bonuses** or **piece-rate pay**

How businesses use Taylor's Scientific Management



Your notes

How businesses use Taylor's approach	Advantages	Disadvantages
- Workers are trained to perform only one task, which they become very skilled at - Workers are usually only paid for the completed work (piece-rate pay), e.g. \$0.16 per T-shirt completed by garment workers in Bangladesh	Increased efficiency, which lowers costs Standardised procedures for work processes that everyone follows can help reduce errors and inconsistencies Specialisation of labour leads to greater efficiency and productivity Clear hierarchy and lines of authority can lead to more efficient decision-making and communication Improved training and development can lead to better performance and job satisfaction	Overemphasis on efficiency reduces worker satisfaction and creativity Workers may disengage from work if they are reduced to working in a machine-like system Limited applicability, as this approach may not work for roles that require high levels of creativity, problem-solving or interpersonal skills Potential for exploitation as this approach may be used to extract more work from workers without compensating them fairly, e.g many sweatshop labourers get paid using this method

Motivation theories: Mayo's Human Relations Theory

- Mayo's Human Relations Theory was developed by **Elton Mayo** in the 1930s
- It focuses on the **importance of social factors in the workplace**
 - These include factors such as **communication, motivation and job satisfaction**
- Mayo suggests that the key to **improving productivity and job satisfaction** lies in understanding and improving the relationships between workers, supervisors and management

How businesses use Mayo's Human Relations Theory

How businesses use Mayo's approach	Advantages	Disadvantages
Empowering employees in decision-making, e.g, creating	Improved job satisfaction	Time-consuming as building positive



Your notes

teams that decide their own priorities ▪ Team-building activities are used to build relationships ▪ Providing feedback and recognition to employees, e.g. Worker of the Week ▪ Creating a positive work environment by promoting open communication and providing support to employees, e.g. offering wellness programmes ▪ Encouraging employee development by offering training programmes, mentorship opportunities and career advancement paths	▪ Increased productivity as workers feel valued and supported ▪ Better communication — workers value open and honest communication, which reduces misunderstandings and conflicts ▪ Employee empowerment increases workers' sense of ownership and responsibility ▪ Stronger teams as there is a sense of community and team spirit	relationships requires time and effort ▪ Lack of control as workers make more decisions ▪ Resistance to change — some workers and managers may be resistant to the changes required by Mayo's theory ▪ Potential for conflict as attempts to build stronger relationships can also lead to conflicts and disagreements ▪ Limited applicability as it may not work for businesses that require a high degree of individual autonomy and independence
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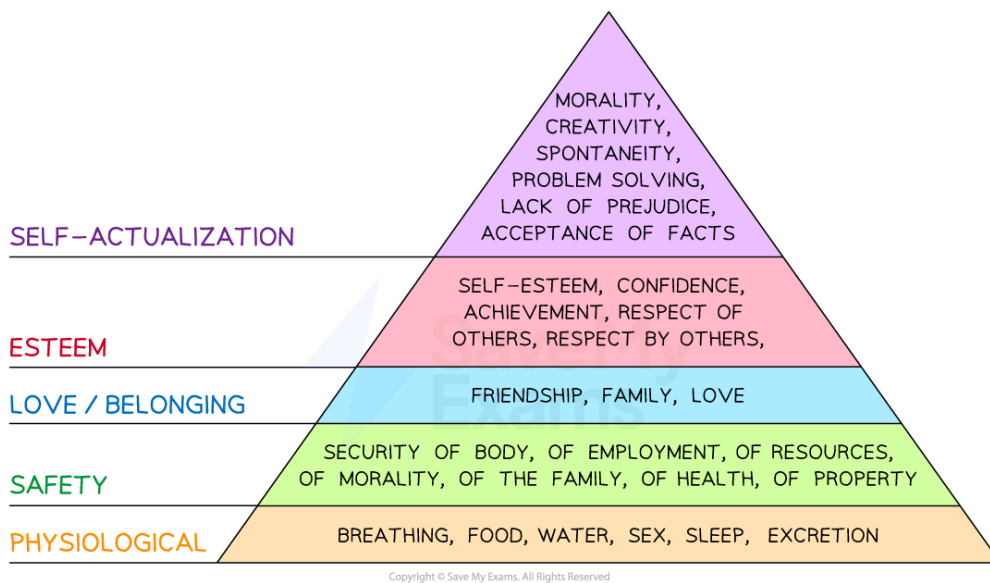
Motivation theories: Maslow's Hierarchy of Needs

- Maslow's Hierarchy of Needs is a theory of human motivation that outlines **five tiers of human needs** that must be met for individuals to reach their full potential

Maslow's hierarchy



Your notes



Maslow's Hierarchy of Needs, typically represented as a pyramid, with basic needs at the base and more complex needs at the top

Application of Maslow's Hierarchy of Needs

- **Physiological needs**
 - Businesses can **provide necessities** for their employees
 - E.g. **comfortable work environment**, access to clean water and food and adequate rest breaks
- **Safety needs**
 - Businesses can provide job security, fair pay, benefits and **safe working conditions** for their employees
- **Love and belonging (social) needs**
 - Businesses can encourage teamwork and generate a **sense of community** within the workplace
- **Esteem needs**
 - Businesses can provide recognition for employees' accomplishments and provide a positive work culture that **values individual contributions**
- **Self-actualisation needs**
 - Businesses can help employees achieve this need by offering opportunities for employees to **pursue their passions** and interests
 - E.g. Barclays was known for supporting elite sportspeople by allowing them time off work during the day to continue their training (the focus was on getting the job done, not having to be in at a certain time)

Evaluation of Maslow's Hierarchy of Needs



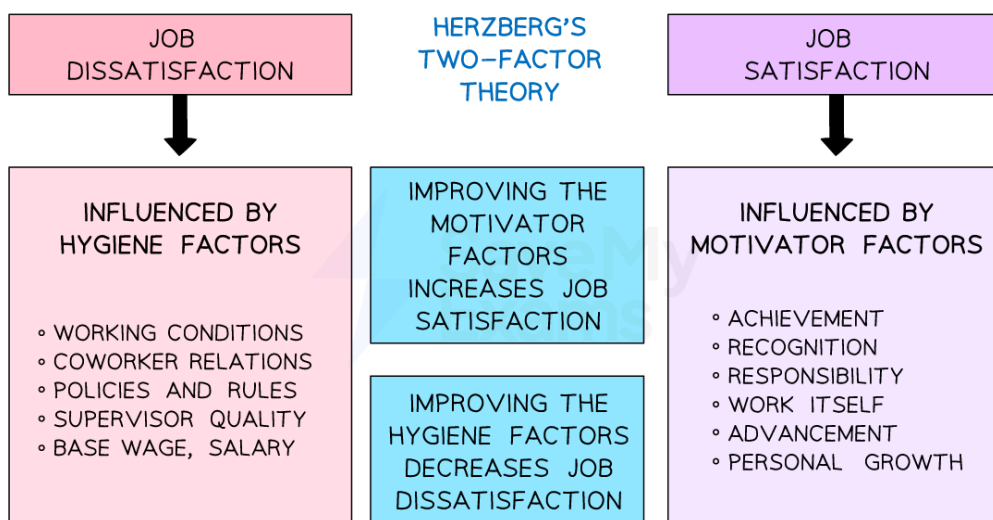
Your notes

Advantages	Disadvantages
▪ Higher employee satisfaction: By meeting the needs of employees, businesses can create a more satisfying work environment, which can lead to increased productivity and lower turnover rates ▪ Increased motivation: Businesses can motivate their employees by offering incentives that align with their specific needs and desires ▪ Improved employee performance: Employees who feel valued and supported by their employers are more likely to perform at a higher level	▪ One size does not fit all: Businesses need to tailor their approach to meet the individual needs of their employees ▪ Expensive: Meeting many individual needs can be costly, especially when offering perks such as the use of a company car ▪ Time-consuming: Requires significant effort from management to connect individually to understand which opportunities for personal growth are desired

Motivation theories: Herzberg's Two-Factor Theory

- **Herzberg's theory** suggests that there are two types of factors that affect employee motivation and job satisfaction
 - **Hygiene factors** are elements that do not necessarily lead to job satisfaction, but their absence can cause dissatisfaction, which decreases motivation, e.g. poor teamwork in the workplace
 - **Motivators** are elements that lead to job satisfaction and motivation, e.g. increased responsibility

Herzberg's Two-factor Theory



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An explanation of how the lack of hygiene factors causes dissatisfaction while addressing the motivators increases satisfaction. Increased satisfaction leads to increased productivity and profitability



Your notes

Using hygiene factors to decrease dissatisfaction

- **Pay fair wages and salaries**
 - If an employee is not paid a fair wage for their work, they may become dissatisfied and demotivated
- **Offer excellent working conditions**
 - If the workplace is dirty, unsafe or uncomfortable, employees may become dissatisfied and demotivated
 - E.g. Google has a reputation for providing amazing workplaces, which include gourmet restaurants, laundry services and dog care
- **Offer employment contracts that provide job security**
 - If employees feel that their job is not secure, they may become anxious and demotivated and contribute less to the business goals

Using motivators to increase satisfaction

- **Build a recognition and rewards culture**
 - When employees are recognised and rewarded for their hard work, they are motivated to continue performing well
 - E.g. salesperson of the month award
- **Offer opportunities for growth and development**
 - When employees are given opportunities to learn new skills and advance in their careers, they are motivated to continue working for the company
 - E.g. set a three-year growth plan that helps the worker move towards an advanced role
- **Provide challenging work that requires problem-solving**
 - When employees are given challenging work that allows them to use their skills and abilities, they are motivated to continue performing well

Financial incentives to improve performance

- Financial incentives are rewards or payments given to employees in return for their labour or improved performance

Motivation theory and financial incentives



Your notes

Incentive type	Explanation	Motivational theories
Piecework	▪ Employees are paid according to the number of units or pieces they produce ▪ Commonly used in manufacturing or assembly-line settings, and encourages workers to produce more and increase their output	▪ Taylor's Scientific management
Commission	▪ A percentage of sales revenue paid to workers who sell products or services ▪ Commonly used in sales roles, and motivates staff to sell more and increase their sales revenue	▪ Hygiene factor in Herzberg's Theory ▪ Connects to Esteem Needs in Maslow's Hierarchy (salesperson of the month)
Bonus	▪ An additional payment is given to staff as a reward for achieving specific goals, completing projects on time or exceeding performance expectations ▪ Motivates staff to work harder and achieve better results	▪ Connects to Esteem Needs in Maslow's Hierarchy (achievement) ▪ Herzberg believed bonuses as the main form of payment would negatively influence individual behaviour in the workplace (this was part of the problem in the banking industry leading up to the 2008 financial crash)
Profit share	▪ A portion of the company's profits are distributed among staff, which encourages them to think like owners, work collaboratively and focus on the company's overall goals	▪ Motivator in Herzberg's Theory as it creates buy-in to increased responsibility (help the organisation succeed, be an owner) and is seen as a form of recognition



Performance-related pay	▪ Staff are paid based on their performance, which theoretically motivates staff to work harder and achieve better results ▪ This form of payment has been severely criticised as discriminatory and open to abuse by managers	▪ Hygiene Factor in Herzberg's theory — and has been proven to cause significant dissatisfaction when utilised
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Non-financial incentives to improve performance

- Non-financial incentives are rewards or motivators not directly related to money
- These incentives are usually intangible and include **methods that lead to** recognition, praise, job satisfaction and work-life balance

Motivational theory and non-financial incentives

Incentive type	Explanation	Motivational theories
Delegation	▪ It involves transferring responsibility from a manager to their staff ▪ Gives employees a sense of ownership and control over their work, which can lead to improved productivity	▪ Maslow's Esteem Needs, as staff contribution is valued ▪ A motivator in Herzberg's Two-Factor Theory (increase in responsibility)
Consultation	▪ It involves seeking the input of staff on decisions that affect their work ▪ This inclusion can increase staff engagement and commitment, leading to improved productivity	▪ Maslow's Esteem Needs, as staff contribution is valued
Empowerment	▪ Involves giving staff the authority and resources to make decisions and take action without first receiving management approval ▪ Increases staff sense of ownership and responsibility, leading to improved productivity	▪ Maslow's Esteem Needs, as staff contribution is valued ▪ A motivator in Herzberg's Two-Factor Theory (increase in responsibility)



Your notes

Teamworking	■ Involves creating opportunities for staff to work collaboratively ■ Staff can share ideas and expertise, leading to improved productivity and innovation	■ Mayo's Human Relations Theory encourages teamwork
Flexible working	■ Involves providing staff with the option to work remotely or to adjust their hours to suit their lifestyle ■ Can increase staff satisfaction and work-life balance, leading to improved productivity and reduced turnover	■ Maslow's Self-Actualisation, as schedules can be adjusted to allow staff to attack their aspirations ■ A motivator in Herzberg's Two-Factor Theory (personal growth)
Job enrichment	■ Involves adding more challenging or meaningful tasks to a job ■ Staff feel more motivated and engaged, leading to improved productivity	■ Mayo's Human Relations Theory as it encourages the development of staff ■ A motivator in Herzberg's Two-Factor Theory
Job rotation	■ Involves moving staff between different roles in the business ■ Exposes staff to new challenges and experiences, which can increase motivation, understanding and skill	■ A motivator in Herzberg's Two-Factor Theory (the work itself)
Job enlargement	■ Involves expanding staff's job duties to include additional tasks or responsibilities ■ Engaging with a variety of tasks can increase motivation and job satisfaction, leading to improved productivity	■ Mayo's Human Relations Theory as it encourages the development of staff ■ A motivator in Herzberg's Two-Factor Theory (the work itself)



Examiner Tips and Tricks

When you are asked to assess a compensation package that a business wants to offer, there are several factors you should consider before answering:

1. **The context of the business:** Is it a manufacturing facility or a team of creative designers?

2. **The industry norms:** Does the data provide any insight into what competitors are doing?
3. **The balance of the compensation package:** ideally, it should include appropriate financial and non-financial incentives to maximise employee productivity and retention.

The case study usually provides good data, which helps you to answer the above questions and base your answer on, so refer to it as supporting evidence.



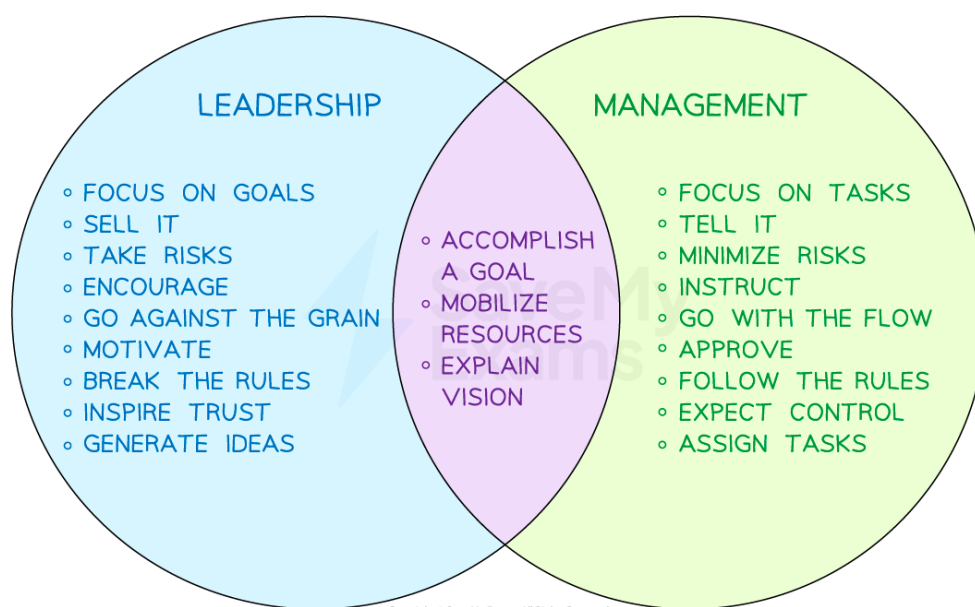
Your notes



The distinction between management and leadership

- Leadership is about having a **vision**, sharing that vision with others and **providing direction**
- Management is the **day-to-day organisation** of the business, its resources and its staffing

Leadership vs management



The different characteristics of leaders and managers

Key differences between leadership and management

- Vision vs. Execution**
 - Leadership focuses on creating a vision, setting direction and inspiring others to follow
 - Management focuses on executing plans, organising resources and ensuring tasks are completed on time
- Influence vs. Control**
 - Leadership focuses on influencing others to achieve a common goal by inspiring and motivating

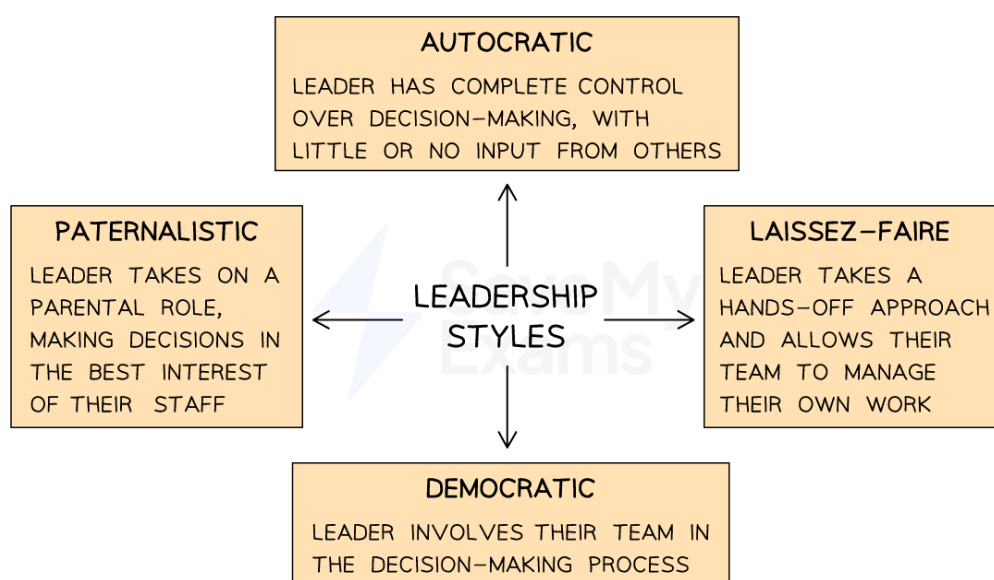


- Management focuses on controlling resources and processes to ensure that objectives are met
- **People vs. Processes**
 - Leadership focuses on people, their needs and their motivation
 - Management focuses on processes, structures and systems
- **Long-term vs. Short-term**
 - Leadership focuses on the long-term vision and strategy
 - Management focuses on short-term goals and targets
- **Creativity vs. Efficiency**
 - Leadership encourages creativity and innovation
 - Management focuses more on efficiency and productivity

Different types of leadership styles

- Leadership styles are **different approaches** to leading and **managing a team or business**
- They reflect the **behaviours and attitudes of a leader towards their team members** and influence the **organisational culture**, productivity and performance
- A successful leader will be able to **use a variety of leadership styles**, depending on the situation, to achieve the best results for their business

Common leadership styles



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Commonly used types of leadership styles include autocratic, democratic, paternalistic and laissez-faire

- The **choice of leadership style** is influenced by the business's circumstances as well as the nature and size of the business



Your notes

Autocratic

- This style is more appropriate when there is a need for quick decision-making, such as during a crisis
- It may also be more suitable in a **small business** in which the owner is the primary decision-maker and has complete control over the business

Paternalistic

- This style is more appropriate when the staff are uneducated or inexperienced
- They require **more guidance and support** from their leader
- It can also be effective when the leader needs to build a strong sense of loyalty from their employees

Democratic

- This style is more appropriate when the business needs to encourage creativity, innovation and employee engagement
- It is also effective in larger firms in which **decisions require input from multiple stakeholders** or when there is a need to build consensus

Laissez-faire

- This style is more appropriate when the staff are very experienced and require minimal supervision
- It is also effective when the leader wants to build a **culture of independence and self-motivation**